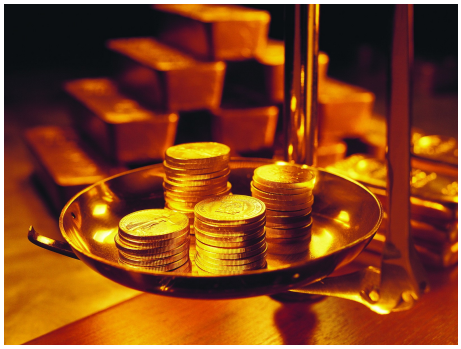
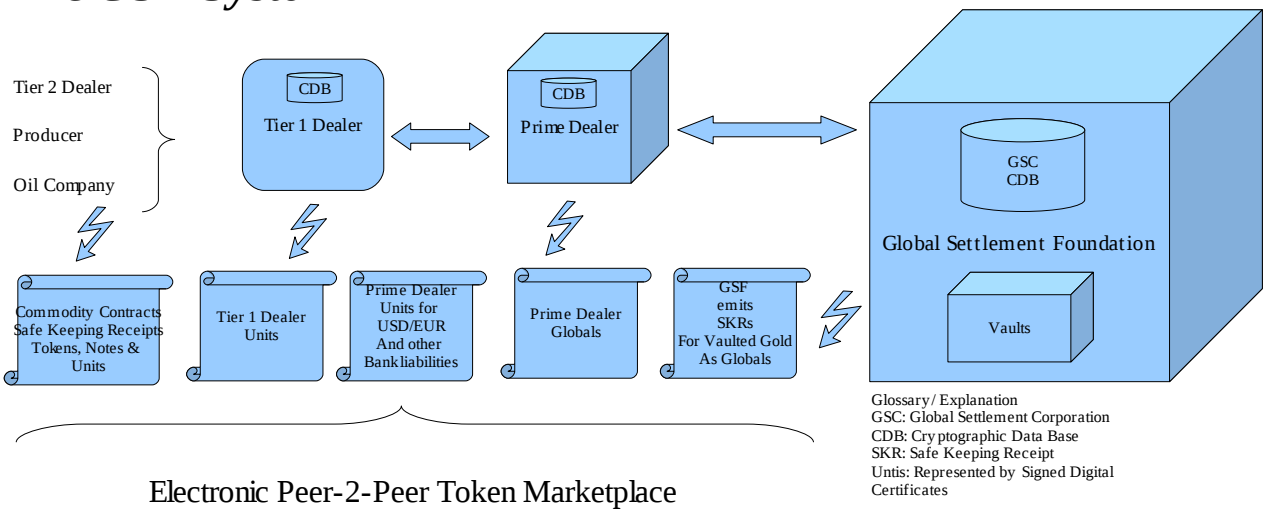
The Global Settlement Foundation



The Global Settlement Foundation (GSF) is an independent, international non-profit organization that will provide finality of settlement for global trade. The *GSF System* is comprised of the GSF, the duly appointed prime dealers, foundation members, and the lawful[1] processes and deliverable units that trade in the cryptographically neutral marketplace. In the Global Standard™, one Global™ is defined as 0.1 gram of gold by mass deliverable as 0.999 or better fine gold, and includes retail delivery of 0.9999 pure gold 1 Kg bars marked 10,000 Globals, high value coins designed for circulation and low value coins and notes. All circulating physical Globals will contain at least 70% of the face value amount of gold with the balance stored in the GSF vaults. Counterfeits will be impossible without the gold content – an elegant solution. The GSF will enable the physical and lawful processes that facilitate creation and movement of goods and services, including the necessary infrastructure to allow entrepreneurs and investors who use Globals to create and use a real-capital stock market that allows the pricing function in the marketplace to price risk. The genius of the west – lawful real-money stock markets[2] – will once again return to the service of mankind.

The *GSF System*



Electronic Peer-2-Peer Token Marketplace

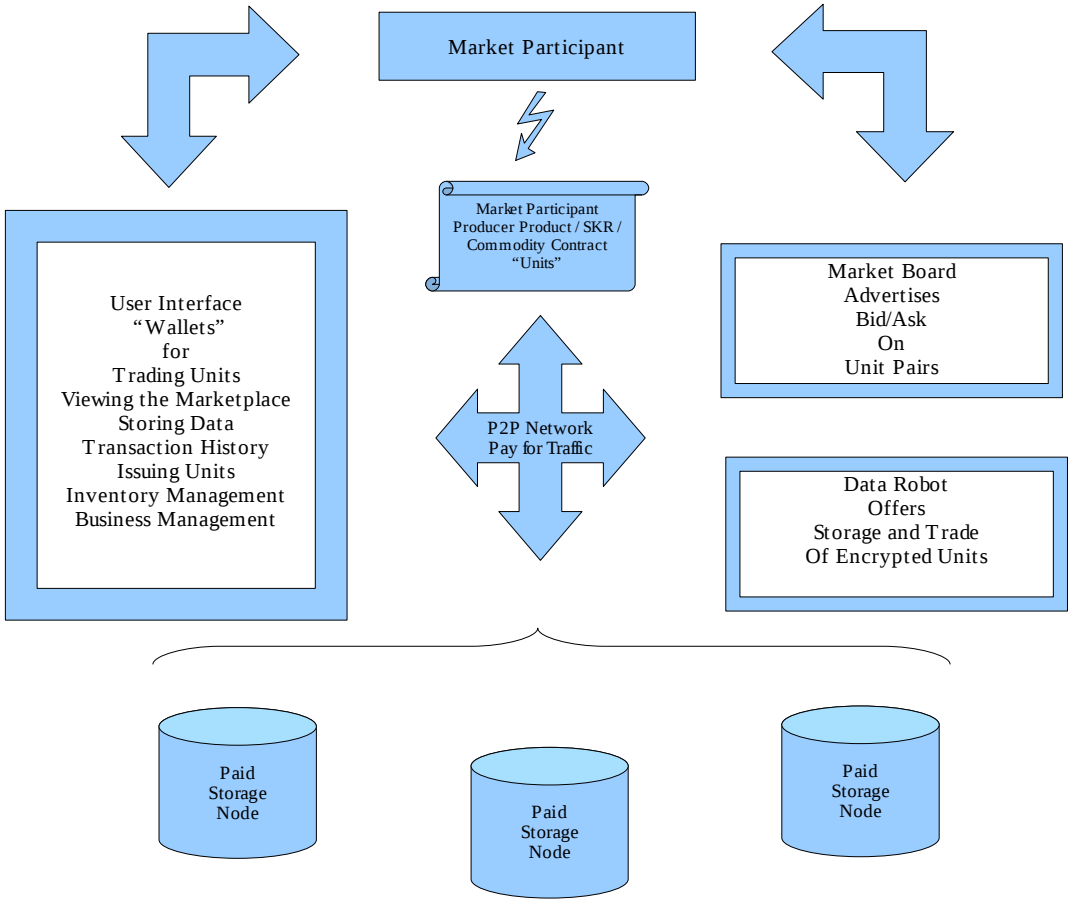
The GSF System's cryptographically neutral marketplace will have multiple issuers, buyers and sellers and be based on a peer-to-peer model where buyers and sellers of a particular token directly interact with each other without necessarily involving the issuer.

1 Lawful means conformable to the principle, spirit, or essence of the law, and is applicable to moral as well as to juridical law including Natural and Common Law and shall specifically exclude methods of legal plunder. See *The Law*, an essay by Frederic Bastiat, first published in 1850, available at http://www.rayservers.com/the-law.

2 See http://www.rayservers.com/blog/physics-drives-finance-finance-drives-politics

For instance a retail truck stop chain could issue units that represent litres of diesel of a particular grade. Truckers could purchase and store these units in their electronic wallet so they know in advance that they will receive the needed diesel for operational needs that month and the operator of the truck stop chain can gauge demand, purchase and move inventory as necessary.

A trucker with diesel units may be able to purchase milk from a farmer who has issued milk units directly in diesel units – if the two parties come to a mutual voluntary contract to do so. The marketplace will naturally re-discover that gold is the best form of "money" as it is the substance that gives material shape to the principle of money.



An issuer emits cryptographically signed units that are handled by a data robot that stores the units with pay-for-storage nodes via a pay-for-traffic peer-to-peer network. Market boards offer marketplace participants a space to advertise their bid ask spreads on marketplace units. End users and issuers utilize user-interfaces to the distributed system. Multiple profitable entities can compete with each other to provide each of the above services.

The architecture ensures that there is no single point of failure and that no units are lost. It also provides the means for a robust economy to develop that supports technology such as *economically viable self-extending wireless mesh networks* that will reduce the cost of internet and voice

communication access. Imagine a wireless internet router that you buy, plug in and it pays for itself and allows ultra cheap network edge gadgets to proliferate that extend the mesh further!
The peer-to-peer system is directly suited to implement the real-bills system of Adam Smith. Lawful discount houses will arise to discount lawful bills of exchange and inject real-money into circulation. All the creative genius of Wall Street can be implemented within this system with lawful and deliverable units of account being the natural check against fraudulent contracts.

The Global Standard™

One Global™ is defined as 0.1 gram of gold by mass deliverable as 0.999 or better fine gold. The standard includes retail delivery of 0.9999 pure gold 1 Kg bars marked 10,000 Globals.



High value coins for circulation based on the Krugerrand formula will be available in 400, 200 and 40 global denominations. Low value coins and notes impregnated with gold will be available in the 10, 1, 0.25, 0.10, 0.05 and 0.01 Global denomination. All circulating physical Globals will contain at least 70% of the face value amount of gold with the balance stored in the GSF vaults. Counterfeits will be impossible without the gold content – an elegant solution. The physical Globals will also have advanced security features.

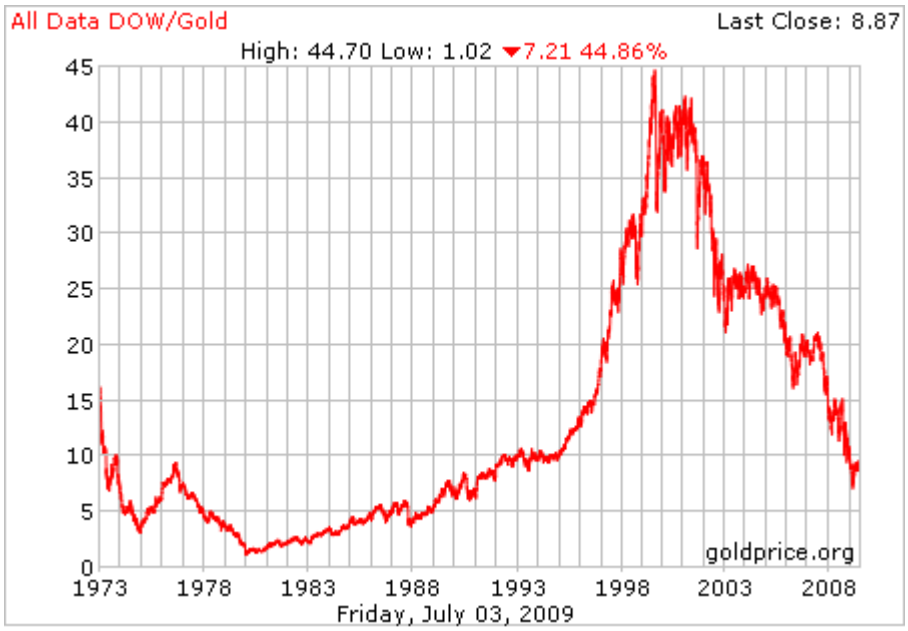
Electronic units issued by the GSF which will be used in modern computerized commerce will pay a 2.5% per annum storage fee. The storage fees provide the necessary means to operate the system without fractional reserve fraud. The fees discourage hoarding and recover gold locked in units where the user irrecoverably loses access to their authentication method. Competition from other issuers is invited and encouraged. The Global Standard™ will power regional units such as the proposed pan-African AUric™ which will be exactly one Global.

The Physics of Finance

Any entrepreneur needs methods of garnering enough purchasing power under his control – the *working capital* - needed to put the means of production into motion to produce goods and services that are in demand. This working capital may be either borrowed (debt) or obtained by the sale of stock (equity). With debt, risk has to be calculated and used to set the interest rate, with equity, risk is already priced into the market value of the stock.

In any society, risk exists and businesses can fail. Interest rates have to be set at higher than the inverse of the average business risk – if one in five businesses on average fail, the lender would have to set his interest rate at greater than 20% and lend to many people. When a business that is in debt fails, the statutory provisions allow lenders to pursue their claims against borrowers – resulting

in time and effort wasted by both that could have been spent on a new venture. When equity is used instead, the risk is priced by the market into the value of the stock and is also distributed amongst many investors – who can spread their savings across multiple businesses. Market action and the competition ensures that businesses vie with each other to access the investment capital that is available.



The Dow Jones Industrial Average measured in fixed money – Troy Ounces of Gold

The following paragraphs from the essay *Physics drives Finance, Finance drives Politics*[3] will make it clear:

> "Aristocrats do not like stock markets - they conspire to foist a central bank on the masses and then debase the money until it is debt denominated in debt tokens. This turns stock markets into money markets, since the markets attempt to use stocks as money.
>
> "Naturally, this concentrates purchasing power into the hands of those who know how to dilute it out of the pockets of others. Those that benefit from such activity want strong kings, and fascism is ascendant.
>
> "If you want to change the world towards freedom and prosperity, you have to change the physics. You need MONEY, not its substitute, in circulation. Money is fungible, identity and money do not mix, it has to be bearer, hence anonymous and private.
>
> "You also want stock markets - denominated in MONEY. You want bearer transactions, not book entry. Book entry, identity and slavery are all linked. As you can see, those that operate book entry systems tremble in fear of the King, aka Parasite-in-Chief.

3 http://www.rayservers.com/blog/physics-drives-finance-finance-drives-politics

> "Today, we do not have money or stock markets. We have debt tokens, slave identification cards, money markets instead of stock markets, and fascists in charge.
>
> "In a related note, we do not have news, we have propaganda. This is because we do not have a market for news – we have a market for advertising. News merely turns into filler in-between the paid advertising spots. Naturally, parasites arise to replace news with propaganda.
>
> "Fascism will fail because slaves turn unproductive and whips make a poor substitute for self motivation towards generating ones own wealth.
>
> "Gold is not wealth, neither is a huge concentration of fiat tokens. A society is wealthy and prosperous when true bearer share stock markets create interdependent private property ownership, and self motivation to create more goods and services spurred by competition creates a virtuous cycle.
>
> "The cross ownership of private property via a true stock market results in peace, since there is no urge to destroy the property of "others" since everyone owns a little bit of everything and no one knows who owns what. True stock markets are far more efficient than money markets, because failed projects do not result in further wasted time chasing impossible to recover debts and parasites have to work for a living. True stock markets chase yield, not just price."

The *GSF System* will create the necessary infrastructure to allow entrepreneurs and investors who use real-money to create and use a real-capital stock market that allows the pricing function in the marketplace to price risk. The genius of the west – lawful stock markets – will once again return to the service of mankind.

What is Settlement?

Settlement or *finality of transaction settlement*[4] is what determines that a trade of property between two persons is formally and permanently complete and all obligations fulfilled and signifies irrevocable payment in full to the mutual satisfaction of both parties.



An Illustration of Settlement

Let us assume there is a farmer and with some large pumpkins to sell.
In the first instance, a buyer approaches and offers

4 An article on the importance of the finality of transaction settlement has been submitted for publication in the inaugural issue of THE PRESIDENT – a magazine to be published by the African Union and circulated to all United Nations members.

one Global – a small, but lovely gold piece. The farmer accepts, puts the gold in his pocket, hands over the pumpkin.

In the second instance, a buyer approaches and offers a one dollar bill – a Federal Reserve Note. The farmer accepts, puts the dollar in his pocket, hands over the pumpkin.

In the third instance, a buyer approaches and offers to pay a dollar on his credit card. The farmer accepts, swipes the card, gets a confirmation, hand over the pumpkin.

Are each of the above equivalent? Has *finality of settlement* been achieved?

In the first instance, the farmer trades his property for the property of the buyer. Once the exchange is complete, no third party can affect the trade – it is final and settled – *finality of settlement* is present.

In the second instance, the farmer trades his property for paper issued by the Federal Reserve. The Federal Reserve has unlimited power over the transaction. An examination of how a Federal Reserve Note comes into existence will reveal that they are circulated promissory liabilities of the federal government of the United States denominated in a circular[5] fashion in Federal Reserve Notes. As the current "bailout" demonstrates, unlimited power invites unlimited abuse of power. The farmer may wake up one morning to find that his cash has been deemed worthless.



In the third instance, the farmer trades his property for a *promise to pay one dollar* issued by the buyer on the spot – that dollar did not exist as a liability or asset until it was "spent" by the card transaction. The farmer and the buyer witnessed the birth of a brand new dollar bank liability and likely did not know it. When it reaches the farmer's bank account, he does not have "cash in the bank", he has USD bank liabilities – a promise of the bank to pay him one dollar as a Federal Reserve Note *based on the promise of the buyer*. It should be clear to you by now, that if the farmer had amassed a "million dollars in cash" in his bank account, he cannot walk into the bank and take it – because the bank did not have a million dollars in cash put on deposit – it never, in fact loaned the USD bank liability, it merely circulated it as-if it were dollars.

The above illustration demonstrates the *financial fraud*[6] that has been perpetrated on an unsuspecting humanity. Reality is more complex – the mathematics of the situation is that these USD bank liabilities have been spent on goods produced elsewhere. The buyer cannot hope to repay his promises, even in USD bank liabilities because he has lost the ability to produce and

5 Legal tender is not lawful money. A circular denomination of debt in debt tokens is fraud.
6 See http://www.rayservers.com/blog/fraudulent-finance-for-dummies

stripped of his right to create further promises denominated in USD.

Clearly, finality of settlement can only be possible when real property is traded for real property.

Every “loan” repayment sends USD bank liability currency back into the thin air from which it appeared. Every producer who has to hedge foreign currency exchange rate risk is paying a hidden tax. Forex is a zero sum game and billions are won out of the hands of forex gamblers in the multi-trillion dollar a day forex market. These dollars remain offshore, and, we believe, emerge to assist the plunge protection team that intervenes in the stock and government bond markets.

We can boldly predict, from the ongoing failure of multiple banks[7] that remove vast tracts of USD bank liabilities from circulation and from the massive flow of purchasing power into government bonds that the politics will turn totalitarian.

A world system run by those who have defrauded humanity of its lawful money, who on fictitious authority by an act of *ultra vires*[8] have also stolen the power and liberty of the people to create, produce, travel and trade that is an inherent right granted by Nature or God, have also tricked every poor country into enforcing their vile authority.

Hidden from public view is an intense financial world war that threatens to burst into Armageddon at any moment. The Global Standard will give material shape to the principle of lawful money that men must deal with each other by lawful voluntary trade and give value for value[9]. To trade by means of lawful money and lawful voluntary contract is the code of civilized men of good will.



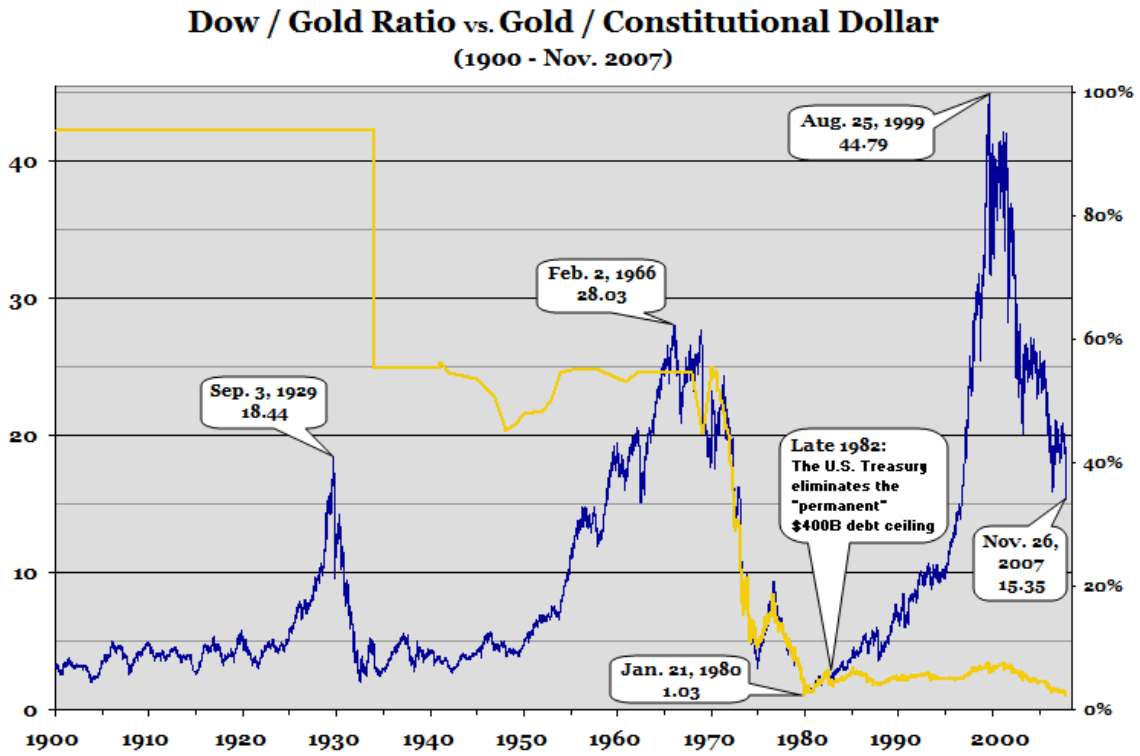
7 The removal of USD bank liabilities from circulation by bank failure perversely makes the dollar stronger - “the strong dollar policy”. Sovereign Wealth Funds should note this – trillions of dollars in SWF accounts and approximately only 250 billion in cash within the USA borders according to some estimates and only 863 billion dollars in Federal Reserve Notes outstanding at the end of March 2009 according to statistics published by the Federal Reserve.
http://www.rayservers.com/images/Federal-Reserve-collateral-against-federal-reserve-note-liabilities.jpg
http://www.rayservers.com/blog/the-roots-of-the-current-global-crisis

8 *Ultra vires* is a Latin phrase that literally means "beyond the powers". Usurping the inherent power of an individual to exist, create and trade value for value is beyond the lawful power of any entity.
http://en.wikipedia.org/wiki/Ultra_vires

9 http://www.rayservers.com/blog/Ayn-Rand-on-Money

World Market Overview

As practitioners of Austrian economics, we have looked at the fundamentals of the world marketplace and our observations have stood the test of time. A 100 year overview[10] is best summarized by the Dow Jones Industrial Average chart measured in ounces of gold.



The last high on the Dow in ounces of gold was 44.79 on 25th August 1999. The prior low was 1.03 on 21st January 1980, post the 1971 "demonetization" of gold. Our target for the Dow in gold ounces is 1.0 or lower before there is any real chance of a recovery.

The explanation of the periodicity is simple – when banks inject liquidity[11], they do so into the so-called[12] stock market which causes it to rise. The economic effect is that purchasing power from the accounts of savers and the working capital of producers is transferred to those that issue stocks in the stock market.

10 See the essay at http://www.rayservers.com/why-gold for more information on the Dow-Gold ratio and an explanation of this chart including a historical perspective. The blue line on the chart is the Dow in ounces of gold (left y-axis) and the yellow like is the percentage value of the dollar in circulation compared to the 1792 Mint Act, what is called "the Constitutional Dollar" on this chart.

11 See Modern Money Mechanics published by the Federal Reserve as a booklet: http://www.rayservers.com/images/ModernMoneyMechanics.pdf

12 "So-called stock market" because stock markets become money markets when public money backed by taxation diluted by the money multiplier effect of banks chases stocks which behave as private money backed by production of the companies that issue the stock.

This corrupts the price-discovery mechanisms in society an it becomes more profitable to market pie-in-the-sky projects than to actually produce goods, and entrepreneurs liquidate the projects, take the money and run. Clearly, in order to avoid a Zimbabwe style price inflation blow-off, the banks have to deflate until the Dow-gold ratio resets at around 1.0. Insiders who know the score, can reap the harvest of the best private property available – as distressed people suffer money supply inflation followed by rapid deflation and there is much confusion and ignorance about what a dollar really is.

Financial World War

Not covered on today's news channels, that have become little more than controlled propaganda outlets, a financial war has raged, occasionally breaking out into hot wars we hear about like WWII, events like 911, and the recent wars in the middle east.



Today, an engineered financial crisis[13] is being used to edge the world into chaos as the financial fraud[14] of the last two decades reaches its logical property harvest phase and war is fomented to hide the theft[15].

The collapse of bank stocks indicates that the market knows that the banks will soon be bust – in a deliberate take down of entire economies as as a route to remove promissory liabilities from circulation.

The guaranteed bankruptcies that range from large manufacturing companies such as General Motors to small home owners allows those who know the game to re-distribute the best property to themselves.

The Upcoming Failure of Electronic Bank Liabilities

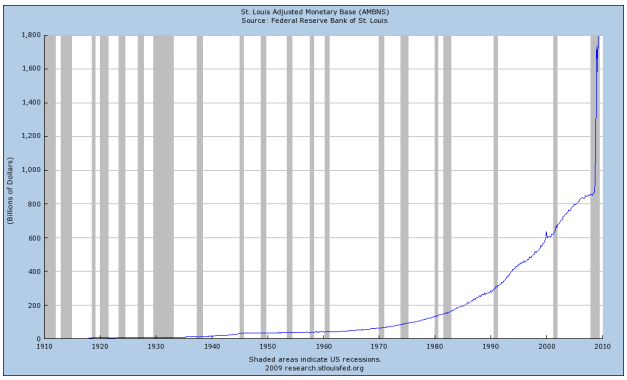
The multi-trillion-dollar-a-day forex marketplace trades “national currencies”[16] - in truth what is traded are bank liabilities denominated in national currencies. The primary asset that backs the national currency, US Treasury Bills or Federal Reserve Notes (dollar bills) in the case of USD, for

13 http://www.rayservers.com/blog/the-roots-of-the-current-global-crisis
14 http://www.rayservers.com/blog/fraudulent-finance-for-dummies
15 http://www.rayservers.com/blog/monopoly-money-and-the-art-of-fraud-theft-and-war
16 Much of the electronic forex trade is cleared by http://www.cls-group.com/ which offers large banks the option of “high powered” central bank money. Retail forex traders cannot access CLS and have their deposits with retail banks and brokers.

example, are not directly involved in forex trading. What is traded on the forex market are the bank liabilities that have been issued against retail promissory notes created by fraudulent conversion and circulated as-if they were the national currencies themselves[17]. We believe that the bundled retail promissory notes known as Collateralized Debt Obligations (CDO) and Mortgage Backed Securities (MBS) that trade at the exclusive Depository Trust and Clearing Corporation[18] have essentially lost their value as the dying system confronts the massive fraud within it.



As banks fail, the purchasing power vested in the old system tries to escape to safety. Since it is perceived that the US Government will survive longer than the banks, the purchasing power represented by bank-liability dollars chases short term US Treasury Bills. To meet demand and to avoid "levitation" of T-bills to a negative interest rate where the price is higher than face value plus interest, the Federal Reserve and the US Treasury have issued fresh Treasury bills to satisfy the demand. Thus, the order of magnitude drop in the yield on short term treasury bills to near zero and the amazing growth of the monetary base shows that the marketplace does not trust bank accounts as a short term store of purchasing power.



We have the contrarian view that this near instant doubling monetary base is a result of the US Treasury and the Federal Reserve printing short term US Treasury paper to accommodate the bank liability money chasing short term US treasury money as purchasing power stored as bank-liabilities seeks safe haven[19]. Thus we see the near zero yields on short term treasury debt and the huge spike in the aggregate monetary base as the accommodation by the Federal Reserve for the demand for safety. We believe that as things stand today, this rapid rise in the aggregate monetary base will not result in fresh retail bank liabilities or new printed cash dollars being created – as yet.

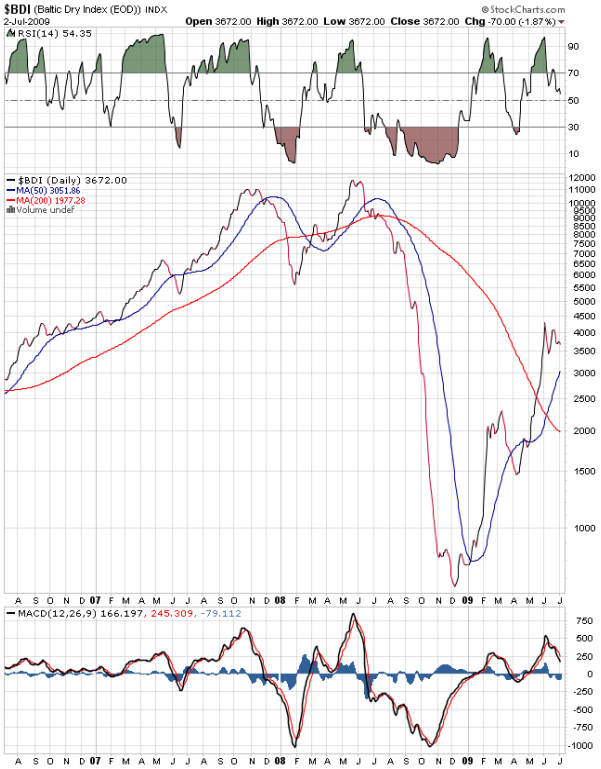
17 Explanation of the fraudulent process is at http://www.rayservers.com/blog/fraudulent-finance-for-dummies
18 The Depository Trust and Clearing Corporation is the worlds largest financial firm. Largely unknown to the common man, it clears over 1.5 Quadrillion (1,500 Trillion) dollars worth of securities a year. http://www.dtcc.com/
19 See: http://www.rayservers.com/blog/inflation-and-deflation-all-at-the-same-time

All the bank liabilities necessary for hyperinflation are already in place – should they be available as printed cash. The Federal Reserve is required by statute to pledge collateral as US Treasury Bills (or gold at approximately $42 to the ounce or more recently CDOs) to print Federal Reserve Notes. Thus we believe that there will not be a sudden print-to-save-the banks event. We also believe that there are powerful forces within the Federal Reserve system that will prevent this route of hyperinflation by printing, as they seem to have planned very carefully for this event[20].

With only USD 867 billion in Federal Reserve Notes ever circulated, it is all but assured that the retail banks within the current system will collapse as they fail to meet accounting standards – which seem to be designed and imposed to create a controlled implosion of banks and thus bank liabilities.

The Collapse and its Effects

The dramatic and visible effect of the credit crisis is clearly visible in the near free fall of the spot rate of hire for dry bulk freighters measured by the Baltic Dry Index which reflected a near shut down in the inter-bank letters of credit marketplace in the last three months of 2008[21].



With the Dow-Gold chart showing no signs of a recovery we have expected and still expect the failure of many large corporation such as General Motors.

As the pool of bank liabilities dries up, tax revenues will fall and this will impact the viability of many States in the USA and many countries as well. Shortages of food and durable goods will occur as economies fail. We expect war amongst nation states and strife inside the USA.

The lack of *finality of transaction settlement* will jeopardize any effort where there is a unit of account that is not deliverable as a countable, measurable, objective substance. We encourage nations, corporations and private individuals to embrace lawful voluntary contracts denominated in deliverable units of account. Those who wish to protect the purchasing power of their working capital and savings can choose to adopt the GSF System and turn their countries, corporations and people towards a peaceful and prosperous way of life.

20 See Monetary Effects of the Drug War at the bottom of:
http://www.rayservers.com/blog/monopoly-money-and-the-art-of-fraud-theft-and-war
21 See “Holding the World Population Ransom” at the top of:
http://www.rayservers.com/blog/inflation-and-deflation-all-at-the-same-time

Saving The Nest Eggs



At the Global Settlement Foundation, we have long anticipated this banking crisis, and have prepared to put in place an operational real-money economy where privacy and security from wanton asset seizure are design features, not an afterthought. After all, if you had all the gold in the world and landed in a midst of a prehistoric tribe, you could not buy a Japanese car, a Swiss watch or a fine bottle of Scotch, or for that matter, any of the modern marks of wealth.

Finality of settlement will be the principle design feature of the world-wide electronic marketplace Finance will be reformed through cryptographically neutral stock markets denominated in lawful money that will free the people from debt slavery. All of this can come about in accordance with the Natural and Common Law – Universal Principles that are also affirmed by every religious tradition.

GSF System News



The membership within the GSF System continues to grow and more companies are joining growing band of companies that will prosper on a sound money system.

Imagine a Super Wide Area Network that covers the globe from pole to pole. That's **SWANsat™**. SWANsat holds the necessary ITU frequency spectrum license allocations as well as geostationary orbital slots. SWANsat will bring cheap voice and data communication to all corners of the globe. SWANsat is a founding member of the Global Settlement Foundation.

The African Union was formed in 1999 by the *Sirte Declaration* to accelerate the integration of the continent to enable it to play its rightful role in the global economy.

SWANsat recently invited the African Union to utilize its substantial network of contacts within the international Sovereign Wealth Fund (SWF)

community to arrange a private, high-level executive briefing attended by senior African Union Commission personnel, by SWANsat executives, and by selected SWF managers who are doing business anywhere within the African Union .

In return for the African Union arranging that meeting and assisting SWANsat to obtain the 12 billion AUrics (USD $36 billion) needed to fund its constellation of 14 high-powered telecommunications spacecraft, SWANsat has offered to provide a minimum post-debt pay off return to the African Union in the amount of USD$1 billion per month (currently AUR 333 million) from SWANsat revenues gained from its operations in G7 nations.



SWANsat has also offered to pay these revenue sharing funds in gold and silver, conditioned on the African Union working with the Global Settlement Foundation to craft the new real-money **AUric System for the African Union**.

SWANsat and the GSF have presented a draft *Note Verbale and Memorandum of Understanding* to the African Union. The draft Note Verbale provides for the recognition of the GSF System and covers issuance of the AUric and the operation of the GSF system within the African Union as well as the landing rights and necessary arrangements for the SWANsat system to operate legally.



Each AUric™ will represent a countable, deliverable, and measurable unit of account consisting of 0.1 gram by mass deliverable in 99.99% fine gold kilo bars, high value coins designed for circulation, and low value coins and notes.

All circulating physical Globals will contain at least 70% of the face value amount of gold with the balance stored in the GSF vaults.

Counterfeits will be impossible without the advanced security features and the gold content – an elegant, easily verified solution.

The 400 AUric designs will feature the symbols drawn from the countries of the African Union. The image on the right shows the proposed design for the Republic of Uganda.

The NEPAD Council is a non-political and independent Non-Profit Organisation (NGO) founded by African professionals and experts with a pledge to support the New Partnership for Africa's Development (NEPAD) to achieve its mission; as a supporting partner, NEPAD Council's mission is to mobilise and energise global action, marshal resources and expertise so as to provide impetus to NEPAD's objectives; the council matches NEPAD's commitment with its own agenda to promote creativity in Africa, boost expertise and capacity, encourage democracy and good governance and provide more effective development expertise .

The NEPAD Council is a member of the Global Settlement Foundation.

The common aims of SWANsat, NEPAD Council, and the GSF

1. Adoption of the Global Standard™ with the following specific steps of adoption hereby taken:
    1. SWANsat hereby delegates management of the AUric™ to the GSF, conditioned on the AUric being based upon and conformable to the Global Standard™;
    2. SWANsat hereby adopts the AUric as the unit of account in the SWANsat system in order to safeguard the working capital of the project;
    3. SWANsat's spacecraft vendor has already agreed to accept payment in AUrics as the unit of account in their quote for design, construction, launch, deployment, and ongoing operation of the SWANsat system.
2. Adoption of country-specific and continent-wide regional units of account based on the GSF Global Standard™ as in the proposed pan-African Auric™.
3. Adoption of the GSF System for incorporation, funding, and operation of African infrastructure and commercial projects.
4. Investment in infrastructure projects for Africa such as the proposed SWANsat System to bring ubiquitous low cost telecommunications to every corner of Africa.
5. Lawful processes for the people of Africa to claim their inherent powers, liberties, and freedoms so that they can lawfully pursue their happiness in peace.
6. Adoption of free and open standards for secure electronic information creation, exchange, security, and authentication including the adoption of the OpenPGP standard for information security and authentication.
7. Protocols necessary for secure communication, travel, trade, and shipping within and without Africa.
8. Protocols necessary for the secure ownership, exchange of private property, and lawful voluntary private contract.

9. Competitive environment for the creation and exchange of new ideas and technology as well as the lawful claim and extraction of natural resources that can be tapped to generate wealth.
10. Lawful processes that render fair and speedy justice and eliminate fraud, corruption, and abuse of power.

The GSF continues to get parties who have interests in common with our members – sound money, rational markets and real wealth creation. We welcome into our membership those who share our interests.

Voxinet provides Voice over IP (VoIP) infrastructure for retail providers. With direct peering arrangements from London to Frankfurt, Los Angeles, New Jersey, Sydney, Hong Kong and Singapore, Voxinet IP services provide businesses worldwide access to the highest quality of service and the latest VoIP switching fabric available anywhere. Voxinet licenses its capacity to retail providers and corporate customers. Rayservers and Voxinet have partnered to bring secure VoIP to corporations, governments, business and end users. Voxinet is a member of the GSF.

Rayservers GmbH "Rayservers" is a financial and technology services company and is one of the companies that develop the technology that will power the GSF System. Rayservers is a duly appointed prime dealer in Globals in the GSF System. Rayservers also serves as a director in the SWANsat venture. Rayservers is a founding member of the GSF.

In addition, Rayservers develops the technical infrastructure for secure voice and data communication and provides services in the hosting, Voice over IP (VoIP), forex trading, secure laptops and trading systems markets.

The Rayservers™ brand name is associated with financial and technical security and has enjoyed a high reputation in the worldwide marketplace since its inception in 2000.

As the prime-dealer in Globals, Rayservers will raise its working capital for the minting of Globals and AUrics via private USD and gold bonds that total over 100 million USD and 100 million Globals. Rayservers manages the secure communication infrastructure for the Global Settlement Foundation. You may securely contact[22] Rayservers for more information on the GSF.

22 Please visit http://www.rayservers.com/contact

First Tier 1 Dealer in Globals & AUrics

TSC AG is a Swiss company head-quartered in Unterägeri, Switzerland that started out in 1997 as a international textile services company. Since then, the company has worked in international real estate and has now entered the forex and bullion markets. TSC has accept a role as a Tier 1 dealer in Globals and AUrics. The canton of Zug, in Swiss-German speaking Switzerland where Unterägeri is located, is known for the lowest taxation rate and strictest privacy laws available in Switzerland. Switzerland is the leading international centre for trade in bullion, currencies, commodities, and other financial instruments.

The Swiss Forex Marketplace

Rayservers and TSC are working with a major Swiss forex firm and offer automated full access to the Swiss Forex Marketplace. Customers regularly use the commercial Metatrader 4 "MT4" platform we host for robotic, semi-automatic and manual forex trading. Rayservers and TSC provide their clients arms-length managed forex trade accounts where contracted traders get trade execution only access and investors get view only access so they can monitor the trading in real time.

The Swiss Forex Marketplace offers a centralized-decentralized model that combines the liquidity from other major marketplaces and allows single click execution of 200 million USD/EUR and 100 million USD/GBP. This automated API access into the world market will be integrated by Rayservers into our Electronic Peer-to-Peer Token Marketplace which will allow us as a market-makers and prime dealers to fulfil trades automatically.

USD and Gold Bonds from Rayservers[23]

TSC has accepted a role as the manager to the USD and Gold bonds issued by Rayservers. Qualified international private investors, who come properly introduced, may obtain a copy of the Rayservers Private Bond Prospectus.



23 This is for information purposes only and is not a solicitation for investment. Not available to natural or legal persons from high tax jurisdictions such as USA and Europe.

The Law *vs* Legal Plunder

Franklin Delano Roosevelt (FDR) is mythologised as the saviour of the people – when in fact, he legalized the theft of over 46% of the gold of the people[24] of the united States of America[25]. It is this theft that led to the great depression and WWII. WWII was a cover up and a culmination of that wave of plunder.

"**Loss of reputation for honourable dealing will bring us unending humiliation**. **The impending legal and moral chaos is appalling.**" Chief Justice Reynolds, in delivering the dissenting minority opinion on the 1935 Supreme Court decision that upheld President Roosevelt's confiscation of the people's gold.

Humanity is at a crossroads, mostly due to its **failure to distinguish between a *liability for a good* and the good itself** as well as its **failure to distinguish between what is lawful and what is legal**.

It has long been shown that ***legal plunder* is against *the law***[26]. The tragedy of the last century is that the entire population of the world was led to slaughter each other by a bunch of thieves and fraudsters who paid for all the destruction with made-up money while secretly cornering the worlds gold supply – by the most brilliant and successful fraud of all time – the legal plunder of the reserves of the last remaining free country of that time – the united States of America.

An Act *vs* The Law

If all the legislators in the world got together and passed an Act that said "Eggs shall not smash when dropped onto a concrete floor. This shall have the force of law." – clearly that Act would be void on its face and would have not effect on the operation of the Laws of Physics. The same is true for Moral Law – if the state were to legislate that it would be legal for your neighbour to take the eggs you have in your refrigerator whenever he chooses – that "law" would be void on its face. Such acts are beyond the power of these mortal men – an act of *ultra vires* – that is, an Act which is beyond their power.

An Act of Congress or similar legislature is not automatically a law – it does not matter if the legislature is in a civil or common law jurisdiction.

Legal Plunder

Legal Plunder is the act of a State and its co-conspirators to take by involuntary confiscation through force or deceit that which is the property of the individuals who comprise "we the people".

24 "We the people" – A collection of individuals – contrast this with "citizens" – of a corporation.
25 The Republic of the united States of America is now represented by a corporation, the UNITED STATES OF AMERICA (USA). Details of this are beyond the scope or intent of this document. Do your own research.
26 See *The Law* by Frederic Bastiat, June 1850. http://www.rayservers.com/the-law

Kings of the old days were simple thieves. Even the Romans could only debase the coinage – a one way decline in value of the circulating money – simple fraud at best. Today the reality is much more complex – banks *create **and destroy*** money in circulation – and not one adult in a hundred can explain how the "money" in his bank account comes into existence leave alone how it is destroyed. The preceding discussion on finality of settlement provides some valuable clues.

A distinguished British banker, the Right Honourable Reginald McKenna, one-time British Chancellor of the Exchequer, and Chairman of the Midland Bank, one of the five largest banks of England, addressed an annual general meeting of the shareholders of the bank, on January 25, 1924, and said (as recorded in his book, Post-War Banking): [Underline and bold emphasis added]

> *"I am afraid the ordinary citizen will not like to be told that the banks can, and do, create **and destroy** money. The amount of finance in existence varies only with the action of the banks in increasing or decreasing deposits and bank purchases. We know how this is effected. Every loan, overdraft, or bank purchase creates a deposit, **and every repayment of a loan, overdraft, or bank sale destroys a deposit.***
>
> *"They (the banks) control the credit of the nation, direct the policies of governments, and keep in the palm of their hands the destinies of the peoples."*

A Tutorial on Fraud

Christopher Story, of www.worldreports.org has done much to uncover the games of deceit that are being played. The following is an excellent short definitive tutorial from World Reports:

> LEGAL TUTORIAL: The Steps of Common Fraud:
>
> Step 1: Fraud in the Inducement: "… is intended to and which does cause one to execute an instrument, or make an agreement… The misrepresentation involved does not mislead one as the paper he signs but rather misleads as to the true facts of a situation, and the false impression it causes is a basis of a decision to sign or render a judgement" Source: Steven H. Gifis, 'Law Dictionary', 5th Edition, Happauge: Barron's Educational Series, Inc., 2003, s.v.: 'Fraud'.
>
> Step 2: Fraud in Fact by Deceit (Obfuscation and Denial) and Theft:
>
> "ACTUAL FRAUD. Deceit. Concealing something or making a false representation with an evil intent [scanter] when it causes injury to another…". Source: Steven H. Gifis, 'Law Dictionary', 5th Edition, Happauge: Barron's Educational Series, Inc., 2003, s.v.: 'Fraud'.
>
> "THE TORT OF FRAUDULENT DECEIT… The elements of actionable deceit are: A false representation of a material fact made with knowledge of its falsity, or recklessly, or without reasonable grounds for believing its truth, and with intent to induce reliance thereon, on which plaintiff justifiably relies on his injury…". Source: Steven H. Gifis, 'Law Dictionary', 5th Edition, Happauge: Barron's Educational Series, Inc., 2003, s.v.: 'Deceit'.

Step 3: Theft by Deception and Fraudulent Conveyance:

THEFT BY DECEPTION:

"FRAUDULENT CONCEALMENT… The hiding or suppression of a material fact or circumstance which the party is legally or morally bound to disclose…".

"The test of whether failure to disclose material facts constitutes fraud is the existence of a duty, legal or equitable, arising from the relation of the parties: failure to disclose a material fact with intent to mislead or defraud under such circumstances being equivalent to an actual 'fraudulent concealment'…".

To suspend running of limitations, it means the employment of artifice, planned to prevent inquiry or escape investigation and mislead or hinder acquirement of information disclosing a right of action, and acts relied on must be of an affirmative character and fraudulent…".

Source: Black, Henry Campbell, M.A., Black's Law Dictionary', Revised 4th Edition, St Paul: West Publishing Company, 1968, s.v. 'Fraudulent Concealment'.

FRAUDULENT CONVEYANCE:

'FRAUDULENT CONVEYANCE… A conveyance or transfer of property, the object of which is to defraud a creditor, or hinder or delay him, or to put such property beyond his reach…".

"Conveyance made with intent to avoid some duty or debt due by or incumbent on person (entity) making transfer…".

Source: Black, Henry Campbell, M.A., 'Black's Law Dictionary, Revised 4th Edition, St Paul: West Publishing Company, 1968, s.v. 'Fraudulent Conveyance'.

Fraud in the Corridors of Power

There was an old lady[27]*, she chartered a fraud,*
I don't know why, she chartered a fraud,
Perhaps she'll die.

The act of chartering a bank or granting a bank license is itself an act of *ultra vires* – for one group

27 Any inference that this is a particular person, is solely in your own imagination. Just as in the children's poem where the old lady swallows a fly, spider and so forth, this initial fraud requires the maintenance of an an endless array of regulators, compliance officers, crooked administrative courts and the "law" and order that flows from the barrel of a gun.

of mortal men[28] has no power to grant another group of men the privilege of lending money they do not have. Further, the system itself is an inducement to commit fraud, both on the part of the person who applies for a bank license/charter and for the person who grants it. It is an artifice for the chartered bank to suspend running of limitations, planned to prevent lawful inquiry and to escape investigation.

The act of a chartered bank lending money they do not have is deceit; further it is deceit with evil intent[29] to cause others to rely on the fraudulent substance as-if it were money.

The act of a bank in leading its depositors to believe that the units of its checking account liability are at par with the nominal units they represent is fraudulent concealment.

The act of a bank to monetize and circulate the promissory notes[30] of its customers, by deceiving the borrower into thinking that he is borrowing money when he is executing a promissory note that is called a "loan" which funds a deposit account in the name of the borrower in the nominal units, is fraud in the inducement. Further,the act of concealing the existence of such deposit account, is fraudulent concealment; the act of stamping and taking the promissory note on deposit on the books of the bank is fraudulent conveyance; and the entire process is theft by fraudulent deception[31] and duress[32].

First by chartering a fraud, then by inducing the State to “borrow” funds at compound interest to create obligations it can never repay[33], next by monetizing those fraudulent debt instruments and

28 Who represent themselves as the Head of State or their agents.

29 The evil intent includes the inducement of others to write fraudulent promissory notes, to conspire to circulate those liabilities by fraudulent conveyance; and further to defraud the victims of their inherent sovereignty and liberty, and further to steal via fraudulent deception the gold and other treasure from the treasury of any remaining bastions of liberty; to obtain resources - such as a world dominating military force - that is beyond the ability of the perpetrators of the fraud to obtain by honest means.

30 Fraudulently represented to be “loans” to the “borrower” who is the actual funder of the loan. A careful examination of the contract will show that it is not a loan but a “line of credit”. As such, no lawful consideration was loaned by the bank to the borrower. If the contract were examined in a court of *law*, and the question “should the funder of the account be repaid” be asked and the the books of the bank were opened as evidence, it would be discovered that there is a deposit account in the name of the borrower than is funded by the promissory note of the borrower. This note was stamped by the bank – received for deposit – which is *fraudulent conversion*. The lawful result is – a contract *void ab initio*. This is as true at the national and international level with “loans” being provided by the banks to countries as well as at the level of individual loans – mortgage contracts, lines of credit and credit cards.

31 Deception, usage: Deception usually refers to the act, and deceit to the habit of the mind; hence we speak of a person as skilled in deception and addicted to deceit. The practice of deceit springs altogether from design, and that of the worst kind; but a deception does not always imply aim and intention. It may be undesigned or accidental. An imposition is an act of deception practised upon some one to his annoyance or injury; a fraud implies the use of stratagem, with a view to some unlawful gain or advantage. [1913 Webster]

32 Duress: An actual or a threatened violence or restraint of a man's person, contrary to law, to compel him to enter into a contract, or to discharge one. 1 Fairf. 325. Duress is present because the fearsome machinery of the State is what provides that contract any value whatsoever.

33 If you lend your money to the local community sponge, you would be the laughing stock of the town when you insist on repayment. You would hold bad debt. By definition, all current national governments are parasites - they consume more than they produce - in other words the individuals that run the national government are simply the aggregate of all sponges who imagine themselves to be in "national service". The government was fraudulently induced to borrow and the instruments are, in any system that is lawful - voidable. The only way such a government can repay is by involuntary confiscation of property, another form of legal plunder, i.e., theft by taxation. This is theft to justify fraud.

printing notes against it and inducing the commercial banks to "lend" to the retail banks and mortgage companies who further induce the retail clients to "borrow", that is, write promissory notes that are then circulated as checking account liabilities payable in the printed notes above; the whole system would be found to be *void ab initio* under the law by any honest judge[34] that knows the distinction between what is law and what is but an act of *ultra vires*.

Effects of Legal Plunder

Money is the life-blood of our global society – when it is infected by fraud the effects are very similar to blood cancer. When you start with fraudulent money in circulation, everything is corrupted in society. Some examples:

1. **The stock market** – As promissory note money balloons into circulation (money backed by fraud and theft), it chases stocks (private issue money backed by current and future production). This drives P/E (Price to Earnings) ratio to unsustainable levels. This happened in the boom of the 1920s, the boom of the 1960s and more recently in the technology boom of the 1990s. During the technology boom of the 1990s technology stocks such as Microsoft did not pay any dividends yet had extremely high valuations – a P/E of infinity. In effect, stock markets turn into money markets. This means that, in a world without a sound stock market in real-money, there is no way to price risk and to efficiently weed out the poor strategies for wealth creation from the good ones. The lack of a sound money as the unit of account in the stock market leaves it vulnerable to an engineered collapse – which is precisely what is under way.
2. **Venture capital** – is corrupted as people figure out that selling pipe dreams in the stock market (and to established current companies via Mergers & Acquisitions) is the quickest way to a corner a fortune in bank-liability money. These so-called capitalists never had any long term plans for the ventures they funded. This is the explanation behind the technology boom and bust.
3. **Company executives** – get corrupted when they figure out that they can make more "money" selling their stocks and stock options by overstating their company earnings – so long as the company can pay its taxes – than by improving the earnings of the company by producing more. This creates Enron-like unsustainable corporations, and a government corrupted via moral hazard due to the unsustainable inflow of taxes.
4. **Retirement plans** – (such as 401K mutual fund based retirement plans) become a vehicle to channel purchasing power from unsuspecting "workers" into the stock market to sustain the absurd P/E values of the unsustainable corporations that employ them. Diversification is of relatively no use as stock prices across the economic spectrum are all fraudulently sustained.
5. **Real Estate** – Simple common people are fraudulently induced by the apparent low interest rates to sign mortgage contracts that, after fraudulent conversion, become the new USD bank liabilities that bid up the value of real estate and housing. The rising house prices creates a false belief amongst the people as to their growing wealth. Even people who own their homes outright, but have a fixed income – such as retired people – are evicted by

34 In what is known as the Minnesota Credit River decision of 1969, Judge Martin V Mahoney found the currently circulating Federal Reserve Notes to be unconstitutional and was killed in six months of that still standing judgement. More information is available at http://www.rayservers.com/frn and http://www.rayservers.com/fraud.

property tax hikes.

6. **Payment systems** – epitomized by credit cards – became so popular as credit cards allow everyone to create money out of thin air. Both the buyer and the seller are extended credit during a credit card purchase. The banks then settle up the bundled assets behind the scenes.
7. **Manufacturing** – in the USA – went into decline, as the dilution of the money in circulation and the boom in the stock market made it easier to liquidate, get a new batch of "free money" in the stock market and set up factories in other countries than to struggle on inside the USA with its intentionally onerous and unconstitutional regulations.
8. **Producers –** now mainly in countries across the Pacific ocean from the USA – have sold goods, i.e., real wealth – in exchange for USD bank liabilities that are created and destroyed by the process of fraud. They have no durable store of purchasing power. They have been defrauded, and the Americans who now do not have any manufacturing cannot produce anything to win back those tokens, and these providers of humanity are unwelcome in America to travel there and spend their dollars on falling real estate and to invest in factories. With all the restrictions on the movement of people and bank-liability money, and the upcoming failure of masses of banks, the working capital of these producers is destined to be stolen.
9. **Central Banks** – The flood of new "capital" into other countries forces their central banks to intervene in a process called *currency sterilization*. In effect, currency sterilization creates a flood of new local currency "backed by foreign currency reserves", thus exporting the monetary inflation that is made in the USA. These central banks are then left no choice but to purchase US Treasury bonds, perpetuating the fraud cycle and undermining the independence of these foreign countries. There is not a single country today that is both economically and politically independent.
10. **Courts** – have morphed into administrative courts, some call it admiralty or military courts, that apply statutory regulations. The Law of the Land – Natural and Common Law – has been replaced by the Law of the Sea, where the privateers can steal with abandon using legal plunder and the courts enforce it. Within the United States, an investigation will show that there are no common law courts any more and all the courts are for profit corporations whose business is to enforce the statutes and to make a profit from the fines.
11. **Prisons** – have turned into profit centres at public expense. Today it costs more to imprison an American than to give him a Harvard education. The USA has the highest rate of imprisonment in the world. In the USA, the writ of *Habeas Corpus* is officially denied, the official policy is guilty until proven innocent, indefinite imprisonment without charges is sanctioned and torture is widespread.
12. **Education**[35] – is intentionally debased to render the population incapable of thinking critically about money. You can get a Doctorate, even in economics, and not know how the money in your checking account comes into creation.
13. **History** – is written with nary a mention of the financial forces at work that foment the wars, finance revolutions[36], and drive the people to slaughter each other chasing foolish political theories. When you read the History of Money and Banking in the United States[37] and connect the events described in there with your knowledge of political history and the

35 See The Underground History of American Education http://www.johntaylorgatto.com/underground/toc1.htm
36 For example, Karl Marx was funded by __ and Jacob Schiff of Wall Street funded the Bolshevik Revolution.
37 http://mises.org/boooks/historyofmoney.pdf

Dow-gold chart, a truer picture of the last century emerges. Another book worth reading is The Creature from Jekyll Island.

14. **The police and the military** – those who are suppose to serve and protect their people – are now employed to enforce the so-called police state. The passport – supposedly an item that enables your freedom of movement – is being used to enforce the *papieren bitte*[38] policies of Nazi Germany and this practice is now routinely enforced worldwide. The concept of "work permits" is a direct application of the Nazi slogan *arbiet macht frei* in a global prison without walls enforced by the passport system. The identity state is needed not to protect the citizens from harm, but to ensure that the people have nowhere to run with their property, that their productivity is always harnessed by the state via taxes to pay the interest on the State's treasury bills, and to ensure that the people can never be safe from legal plunder and death in made up wars.



"WORK MAKES ONE FREE," entrance to Nazi concentration camp at Theresienstadt, Germany

Notice of Claim of Right to Return to the Rule of *The Law*

The GSF system exists to return its members to the rule of *The Law* – where the maxim – *"You shall not harm or cause loss to another is the essence of the Law"* – will be applied to rebuild a civilized wealthy society and end legal plunder.

What is a Claim of Right?

A Claim of Right was used by The Scottish Convention of the Estates[39] in 1689 to enumerate what they saw as the contemporary requirements of Scottish constitutional law. It also declared that, because of the actions of the King were in violation of these laws, King James had forfeited the Scottish throne. It is a time in history where many of the same claims are true today – governments practice

38 "Papers please"
39 http://en.wikisource.org/wiki/Claim_of_Right

Join the Global Settlement Foundation

The Global Settlement Foundation (GSF) is ready to take the necessary steps to put *lawful*[40] *money into circulation and* return finality of settlement, honour and decency to mankind.



The Benefits of the GSF system

Governments who invite the GSF to their territory and sign a Memorandum of Understanding will ensure the success of themselves and their people. Democratic revenue generation will enable lawful projects that are desired by the people.

Producers can use the GSF System to issue units that represent their products and sell them worldwide. Real-money capital markets will allow producers to raise capital. The working capital of producers in the GSF System will not be stolen by the boom-bust cycle.

Financiers can deploy their capital to discount bills of exchange, run dealerships that trade Globals for other units, make producers compete for working capital, facilitate trade in real tangible wealth and lock in their gains in real-money.

People can protect their savings, plan for a retirement they control and invest their savings real-money, real-money bonds or in real-capital stock markets that maximize yield. A return to the rule of *The Law* will ensure peace and prosperity.

The Law & Protecting Yourself

More information on living the lawful life, protecting your savings or participating in the GSF is available via a private consultation.

Yes! I'd like to become a GSF Member -

Name
Position
Organisation
Address

Email
Website
Telephone
Fax

I am interested in learning more about -

☐ Endowing GSF	☐ Tier 2 Dealerships
☐ Representing GSF	☐ Private consultation
☐ Protecting capital	☐ Globals & AUrics
☐ Gold Bonds	☐ The Law
☐ GSF Technology	☐ Issuing units

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40 Lawful means conformable to the principle, spirit, or essence of the law, and is applicable to moral as well as to juridical law including Natural and Common Law and shall specifically exclude methods of legal plunder. See *The Law*, an essay by Frederic Bastiat, first published in 1850, available at http://www.rayservers.com/the-law.